Darktrace take-private: investment committee memo

Project 08, LBO. Thoma Bravo's acquisition of Darktrace plc at $7.75 per share, effective 1 Oct 2024. Written as the sponsor's IC paper on the actual price and financing; the operating plan is my own. Model: models/Darktrace_04_08.xlsx (LBO, Downside, LBO grid). $m unless stated. Not investment advice.

Recommendation

Approve at $7.75 per share with the committed first and second-lien financing. The base case returns a 23% IRR and 2.7x MOIC over 4.75 years to a June 2029 exit at 18x EBITDA. The return rests on one thing: taking the adjusted EBITDA margin from about 23% in FY24 to 40% by FY29 while revenue still grows in the mid-teens. The FY29 margin needed for a 20% IRR is 36.9%; for 25% it is 42.5%. If growth slows and the cost programme stalls (Downside), the equity loses about 40% of its value, but the debt is serviced throughout without new money.

Investment thesis

- **Recurring revenue at scale.** $782m of ARR at June 2024, 9,735 customers, net ARR retention of 106.6% and gross churn of 6.3%. Remaining performance obligations were $1.25bn at December 2023, about two years of revenue.
- **Under-earning for its size.** The H1 FY24 adjusted EBITDA margin was 25.6%. Larger listed peers earn more: Fortinet's non-GAAP operating margin was 28.4% in 2023. Darktrace spends heavily on a direct sales force and on share-based pay (6.9% of revenue), both of which a private owner can reshape.
- **A price below public peers.** The offer was 6.2x NTM revenue against a peer median of 8.2x and 8.1x LTM revenue against a 2019 to 2022 take-private median of 11.7x.
- **A sponsor with a repeatable plan.** Thoma Bravo has taken private Sophos, Proofpoint, SailPoint, Ping Identity and ForgeRock since 2019. The cost and pricing playbook is known to its operating team and to its lenders.

Transaction

Sources	$m	Uses	$m
First-lien term loan	1,735	Equity purchase ($7.75 x 685.8m shares)	5,315
Second-lien term loan	410	OID (0.5% on both tranches)	11
Target cash above $100m minimum	283	Financing fees (2.5% of debt)	54
Sponsor equity	3,001	Advisory and deal fees (1% of EV)	50
Total	**5,429**	**Total**	**5,429**

Entry EV is $4,992m: 8.1x LTM revenue, 6.4x FY24 ARR and 34x LTM adjusted EBITDA of $146m. Sponsor equity is 55% of the capital, which is normal when a sponsor buys software on recurring revenue rather than on EBITDA.

Financing

Tranche	Amount	Pricing	OID	Tenor	Cumulative leverage
First-lien term loan	1,735	SOFR + 325bp	99.5	7 years	11.9x LTM EBITDA
Second-lien term loan	410	SOFR + 525bp	99.5	8 years	14.7x LTM EBITDA

Goldman Sachs underwrote $2,145m of interim facilities at announcement ($1,685m first lien, $460m second lien). In syndication the first lien was upsized by $50m and priced at the tight end of talk, and the second lien cut to $410m. Total debt is 14.7x LTM adjusted EBITDA, 9.7x FY25 base-case EBITDA and 2.7x ARR. Lenders were underwriting recurring revenue and the cost plan, not current earnings.

Two features matter for cash. First, FY25 interest cover is 1.3x and free cash flow after interest is slightly negative in the base case, so the first year relies on the cash left in the business. Second, the UK corporate interest restriction caps deductible interest at 30% of tax-EBITDA. In FY25 only $50m of $132m of interest is deductible, so the company pays tax while barely covering its interest. The full shield is available from FY28 as EBITDA grows.

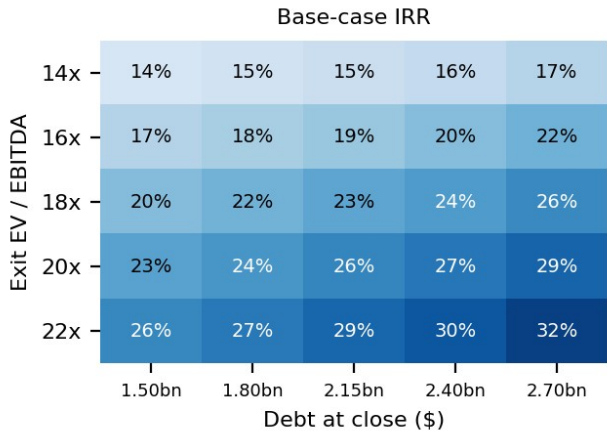
Operating case

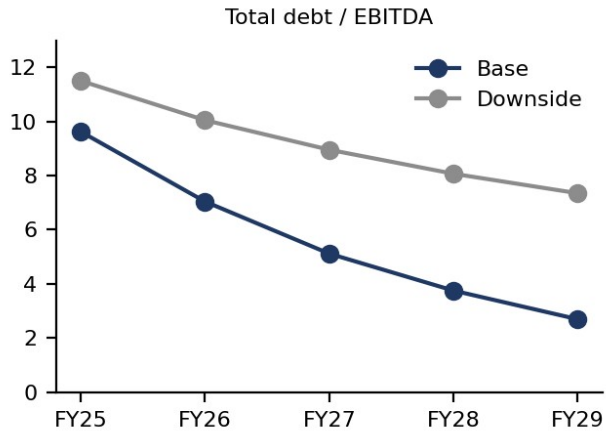
$m	FY24A	FY25E	FY26E	FY27E	FY28E	FY29E
Revenue	690	821	960	1,104	1,248	1,397
Growth	26%	19%	17%	15%	13%	12%
Adjusted EBITDA	159	222	298	386	474	559
Margin	23%	27%	31%	35%	38%	40%

FCF after interest and tax		(9)	65	146	226	298
Net debt (excluding leases)		2,054	1,989	1,843	1,617	1,318
Total debt / EBITDA	13.5x	9.6x	7.0x	5.1x	3.7x	2.7x

FY25 cash flows cover the nine months after close. FY24A EBITDA uses an assumed 23% margin, as the company stopped giving margin guidance once the offer was made. Growth starts below FY24's 26% because net ARR added was flat in FY24 at $145m. Margin expansion comes from sales and marketing efficiency, G&A savings as a private company and slower hiring. Capex stays at 2.4% of revenue, and deferred revenue adds a working capital inflow of 10% of revenue growth. Three quarters of excess cash above $100m is swept to the first lien after 1% amortisation.

Returns





Sponsor value bridge	$m
Sponsor equity in	3,001
EBITDA growth ($146m to $559m) at the 34x entry multiple	14,117
Multiple change, 34x LTM to 18x exit	(9,049)
Net debt paid down	727
Fees and OID	(114)
Management incentive plan (8% of exit equity)	(695)
Sponsor exit proceeds	**7,987**

The bridge shows the shape of the bet. Thoma Bravo paid 34x trailing EBITDA and exits at 18x, so EBITDA has to nearly quadruple just to stand still on the multiple. The 18x exit is not aggressive: on FY29 revenue it is 7.2x, the same EV/revenue multiple paid at entry on FY24 revenue. Debt paydown adds little; this is an operating return, not a leverage return.

At 14x the base-case IRR falls to 15%; at 22x it rises to 29%. More debt raises the IRR (26% with $2.7bn at 18x), but first-year interest cover is already thin, so the committed $2.1bn is close to the sensible maximum. The price ceiling for a 20% IRR is $8.27 (661p) and for 25% it is $7.41 (593p). The deal was struck between the two.

Downside

Revenue growth slows to 12% in FY25 and 5% by FY29, and the margin only reaches 28%. FY29 EBITDA is $281m, half the base case.

- Leverage stays above 7x through FY29 and interest cover never reaches 2x.
- Cash falls to a low of $19m in FY27 and there is no cash sweep in any year. A revolver would be drawn for working capital, but nothing needs refinancing before the 2031 and 2032 maturities.
- At a 14x exit the sponsor gets back 0.58x (IRR minus 11%). Even at 18x the IRR is minus 2%.

The equity is at risk in this case; the debt is not.

Key risks

- **Growth.** Net new ARR stopped growing in FY24. If the newer products (email, cloud, OT) do not add ARR, the 15% average growth in the base case is too high. Mitigant: retention improved through FY24.
- **Cost cuts that damage selling.** Darktrace wins customers through a large direct sales force and proof-of-value trials. Cutting too fast to reach 40% margins could slow new logos. Mitigant: phase the cuts against ARR milestones.

- **Competition.** CrowdStrike, Palo Alto Networks and Microsoft bundle detection and response into broader platforms. Darktrace's network detection niche could be squeezed on price.
- **Rates.** Every 100bp on SOFR costs about $21m a year of interest on the full debt.
- **Exit.** The base case assumes an 18x EBITDA exit in 2029. Each 2x change in the exit multiple moves the IRR by 3 to 4 points.

Exit routes

A sale to a strategic security platform is the natural exit once margins are at 40%: by then Darktrace is a profitable network and email detection business that a larger vendor can bolt on. A sale to another sponsor is the second route; at 2.7x leverage in FY29 the business can carry a fresh debt package. A relisting, in New York rather than London, is the third route and the least certain.

What we need to believe

1. Revenue compounds at about 15% a year to FY29 without a step-up in sales spend.

2. The adjusted EBITDA margin reaches at least 37% by FY29.

3. A buyer in 2029 pays at least 16x EBITDA, about 6.4x revenue, for a 12% grower with 40% margins.

If all three hold, the deal returns 20% or more. If the first fails, the margin target is unlikely, and the downside shows what that costs.

Sources: Rule 2.7 announcement (26 Apr 2024) for price, interim facilities and offer multiples; Bloomberg Law (26 Apr and 13 Jun 2024) and PitchBook LCD for the syndicated loan terms; Darktrace H1 FY24 results and Q4 FY24 trading update for history; gov.uk for the corporate interest restriction. Full list on the model's Sources sheet.